

However, if we are not 100% confident, we can substitute a smaller portion of the equity funds with direct equity, say around 20-30%. It is subjective to our comfort and confidence. Remember that overconfidence in this case will cost us a lot. For most people, it is better to avoid direct equity. Note that short term 'trading' (buying and selling within a few days) does not form a part of direct equity investments.

Secondly, investing based on tips, recommendation from friends or brokerage firm etc. are also not a part of direct equity investing. It is a faulty process. We do not know the underlying reasons for buying the share. The conviction is borrowed and we will want to sell the stocks the moment prices go down and incur huge losses. A faulty process that might have worked in the past does not mean it will work in the future.

Direct equity investing involves understanding the industry, business, financial, valuations etc. in and out before taking an informed decision based on various factors. This is a time-consuming process. So avoid shortcuts and sign up for direct equity only if you have the required skills and time.

